

assuming he dodged the crash of 1920–1921 and the depression that followed. It was over quickly and stocks soared. He learned to stick with stocks. But then came the crash of 1929. It almost certainly wiped him out. Experience had shown him that stocks always went up, that they were a “safe, conservative” place to leave your money. That was the lesson of the 1920s boom. And hadn’t they come back fast from the 1920–1921 bust?

But this time, they didn’t come back fast. This time, something had changed. Now the government was actively managing the economy. After 1929, stocks waggled around for the next 10 to 15 years. Our typical investor learned another lesson: Bonds are more reliable than stocks. He switched his investments to U.S. bonds. Everybody said it was a good move, especially the pros. While stocks had been going down, bonds had been going up. They were unquestionably the “safe, conservative investment” of the postwar period. By 1949, they were higher than ever. But why shouldn’t they be? The U.S. government was good for the money. It, and the U.S. economy behind it, were the strongest financial institutions on the planet. All you had to do was to buy bonds and let time make you rich.

Thus did the fellow in search of the “safe, conservative” ship run aground again. The next 30 years proved a disaster to the bond market. By the early 1980s, bond prices had collapsed and long-term U.S. Treasuries yielded more than 15 percent; the Fed’s key rate was at 19 percent. Consumer price inflation hit 13 percent.

It was then that the wealth advisers began to refer to U.S. Treasuries as “certificates of guaranteed confiscation.” Stay away from them, they all said. And stocks had not done much better; in fact, *BusinessWeek* magazine said that the days of stocks were over. “The Death of Equities,” proclaimed an August 1979 cover. What was left? The professionals looked elsewhere for a “safe, conservative” investment. And what did they find? Gold.

Both gold and commodities had been driven up by the trends of the 1970s. They were widely regarded as a secure refuge from inflation. We recall a popular investment adviser in the late 1970s telling a crowd of thousands that gold was headed to \$5,000 per ounce! It was the only safe place for your money, he said. Everything else would be wiped out by inflation, he maintained.